NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- IV)

C.A.(CAA)-13/ND/2022

IN THE MATTER OF SCHEME OF ARRANGEMENT:

AMONGST

JASCH INDUSTRIES LIMITED

... Applicant No.1/Demerged Company

AND

JASCH GAUGING TECHNOLOGIES LIMITED

...Applicant No.2/ Resulting Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 24.02.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. DHARMINDER SINGH, HON'BLE MEMBER, (J)
MS. SUMITA PURKAYASTHA, HON'BLE MEMBER, (T)

ORDER

PER SHRI DHARMINDER SINGH, MEMBER (J)

Under consideration is the Application No. C.A.(CAA)13/ND/2022 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made seeking dispensation/directions with respect to the meetings of

shareholders and creditors of the Applicant Companies to consider the Scheme of Arrangement. The said Scheme of Arrangement, proposes Demerger of a part of the business of an existing company to its newly formed wholly owned subsidiary.

2. M/s Jasch Industries Limited (hereinafter referred as the **"Demerged Company")** having CIN no. L24302DL1985PLC383771 is a Public Company Limited incorporated under the Companies Act, 1956 on 11.12.1985. The registered office of the demerged compnay is situated at 502, Block-C, NDM-2 Netaji Subhash Place, Pitampura, New Delhi-110034.

3. M/s Jasch Gauging Technologies Limited (hereinafter referred as the **"Resulting Company"**) having CIN no. U33111DL2021PLC381513 is a Public Company Limited by shares incorporated under the Companies Act, 2013 on 25.05.2021. The registered office of the resulting compnay is situated at 502, Block-C, NDM-2 Netaji Subhash Place, Pitampura, New Delhi-110034.

4. The present application has been jointly filed by all the demerged and resulting companies. All the 'demerged' and 'resulting' Companies together are called 'Applicant Companies' hereinafter. That the Registered offices of all the Companies are in Delhi and therefore, the jurisdiction lies with this Bench.

5. It is seen from the record that the Board of Directors of all the Applicant Companies vide separate meetings held on 24.07.2021 have approved the proposed 'Scheme of Arrangement'.

6. It is stated by the Applicant Companies that the following objectives are sought to be achieved by way of Arrangement:

> *a. "Segregation of the two undertakings would enable a focused management to explore the potential business opportunities effectively and efficiently.*
> *b. To enhance the shareholders wealth.*
> *c. Targeting and attracting new investors with specific focus and expertise in the two businesses, thereby providing the necessary funding impetus to the long-term growth strategy of the two businesses.*
> *d. The demerger will help in growth of the demerged and resulting company by providing independent collaborations and expansion.*
> *e. The said reorganization and consequent reduction of the paid up equity share capital of the demerged company will result improved financial ratios.*
> *f. Such arrangement would help the existing shareholders of the demerged company would hold the shares of two listed entities after the scheme become effective. Such shareholders would then be able to choose whether they want to remain invested in either or both the business/operations of the demerged company, giving them flexibility in managing their investment in the two businesses having differential dynamics."*

7. All the Applicant Companies have filed their Affidavits in compliance of Section 230(2)(a) of Companies Act 2013 submitting therein that none of the Applicant Companies are under any prosecution/ investigation/ inquiry under Companies Act 2013.

8. The Applicant Companies have also placed on record the Certificate from the Statutory Auditors conforming that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act 2013.

9. The Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have filed their latest Balance Sheets as on 31.03.2021.

10. The position regarding the Applicant Company wise no. of Shareholders and Creditors and their Consent through Affidavits is summarised overleaf:

Particulars	Demerged Company	%	Resulting Company	%
No. of Equity Shareholders	13854	100	7	100
Consent given	N.A.	N.A.	7	100
No. of secured creditors	1	100	NIL	N.A.
Consent given	1	100	NIL	N.A.
No. of un-secured Creditors	315	100	1	100
Consents given	N.A.	N.A.	1	100

11. The applicants further affirmed that the Scheme does not prejudicial to the interests of the shareholders, and creditors of the applicant companies. Rather, the same may be beneficial to all the applicant companies and their respective shareholders, and creditors.

12. Taking into consideration the aforesaid facts and circumstances, following directions are issued: -

A. In relation to Demerged Company.

i. With respect to Equity Shareholders:

The meeting of the equity shareholders of the Demerged Company shall be held on 02.04.2022 at 10:00 AM, at the registered office of the Demerged Company. The quorum of the meeting shall 75% in value.

ii. With respect to secured creditors:

The Sole Secured Creditor of the Demerged company has given its consent by way of affidavit, therefore, the requirement of convening meeting of the secured creditor is dispensed with.

iii. With respect to unsecured creditors:

The meeting of the unsecured creditors of the Demerged Company shall be held on 03.04.2022 at 10:00 AM, at the registered office of the Demerged Company. The quorum of the meeting shall 75% in value.

B. In relation to Resulting Company.

i. With respect to Equity Shareholders:

Since, all the equity shareholders have given their consent affidavits in favour of the Scheme, therefore, the requirement of convening of the meeting of the equity shareholders is dispensed with.

ii. With respect to secured creditors:

Since there is no secured creditors in the company the requirement of meeting of the secured creditors does not arise.

iii. With respect to unsecured creditors:

The sole unsecured creditor has given its consent affidavit in favour of the Scheme; therefore, the requirement of convening meeting of the unsecured creditor is dispensed with.

C. Mr. Sidharth Chopra, Advocate (Mob-9953066560) is appointed as the Chairperson and Mr. Yuvraj Singh, Advocate (Mob-9671832999) is appointed as Alternate Chairperson and, Ms. Shweta Arora, PCS (8471030301) is appointed as the Scrutinizer for the meeting of the equity shareholders of the demerged company as has been directed to be convened by this Tribunal.

D. Mr. Gauri Shankar Parashar, Advocate (Mob-9752521541) is appointed as the Chairperson and Mr. Gurmeet Singh Khillon, Advocate (Mob- 9416034405) is appointed as Alternate Chairperson and, Ms. Pooja Bhaskar, CA (9988466134) is appointed as the Scrutinizer for meeting of the unsecured creditors of the demerged company as has been directed to be convened by this Tribunal.

E. The Fee for the both the Chairpersons for the aforesaid meetings shall be Rs. 1,50,000/- each and the fee of both the Alternate Chairpersons and both the Scrutinizers shall be Rs. 1,25,000/- each in addition to meeting their incidental expenses. The Chairpersons will file

their reports within 2 weeks from the closing of the e-voting and/ or postal ballot.

F. The individual notices of the said meetings shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of amalgamation, a copy of explanatory statement. The prescribed form of proxy shall be sent along with and in addition to the above documents, any other documents as may be prescribed under the Act may also

G. That the applicant companies shall publish advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date, place and time as aforesaid, to be published in the English Daily 'Business Standard' (Delhi Edition) and Hindi Daily 'Jansatta' (Delhi Edition) stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the Applicant Companies.

H. Voting will be made through remote e-voting process in compliance with the guidelines issued by the Ministry of Corporate Affairs in this regard.

I. The Companies shall individually send notice to the Central Government, the Income Tax Authorities, concerned Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator, Income Tax Department, and any sectoral regulators who may have significant bearing on the operation of the applicant companies along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

J. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

The application stands allowed in the aforesaid terms.

Let the copy of the order be served to the parties.

-Sd-

(SUMITA PURKAYASTHA)
MEMBER (TECHNICAL)

-Sd-

(DHARMINDER SINGH)
MEMBER (JUDICIAL)